The company's securities were selling together for less than one-third of the cash alone, and for only one-seventh of the net current assets, allowing nothing for the fixed property.[9]

**Studebaker Corporation, September 1933**

| Issue | Face amount | Market price | Market value |
|---|---|---|---|
| 10-year 6% notes and other claims | $22,000,000 | 40 | $8,800,000 |
| Preferred stock | 5,800,000 | 27 | $1,500,000 |
| Common stock (*2,464,000* shares) | | 6 | 14,700,000 |
| Total value of stock issues | | | $16,200,000 |

The company's debt, selling at 40 cents on the dollar, was entitled to *prompt payment in full* before the stockholder received anything. Nevertheless, the market placed a much larger value upon the stock issues than upon the prior debt.

**Voluntary Readjustment Plans.** Realization of the manifest disadvantages of receivership has often led bondholders to accept suggestions emanating from the management for a voluntary reduction of their contractual claims. Arrangements of this kind have varied from the old-fashioned type of "composition" (in which creditors extended or even curtailed their claims, while the stockholders retained their interest intact) to cases where the bondholders received a substantial part of the stock equity.

*Examples:* At the end of 1931 Radio-Keith-Orpheum Corporation, needing funds to meet pressing obligations, found ordinary financing impossible. The stockholders ratified a plan under which in effect they surrendered 75% of their stock interest, which was given in turn as a bonus to those who supplied the $11,600,000 required by purchasing debenture notes. (Continued large losses, however, forced the company into receivership a year later.)

In 1933 Fox Film Corporation effected a recapitalization of the same general type. The stockholders gave up over 80% of their holdings, and this stock was in turn *exchanged* for nearly all of approximately $40,000,000 of 5-year notes and bank debt.

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[9] As pointed out in Chap. 50, below, the Fisk Rubber 8s later proved to be worth close to 100 and the 5½s more than 70.